

BEFORE THE  
FEDERAL MARITIME COMMISSION

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Docket No. 21-04  
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Greatway Logistics Group, LLC  
*Complainant*

v.

Ocean Network Express, Pte., Ltd.,  
*Respondent.*  
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**OCEAN NETWORK EXPRESS, PTE. LTD.'S VERIFIED ORIGINAL ANSWER**

Respondent Ocean Network Express Pte. Ltd. (“ONE”) by and through its undersigned counsel, files this Original Verified Answer to Greatway Logistics Group, LLC’s (“Greatway”) Complaint in the above-captioned proceeding, and responds as follows:

**I.**

Subject to and without waiving any defenses or affirmative defenses set forth subsequently in this Answer, ONE answers the allegations in Greatway’s Complaint in correspondingly-numbered paragraphs as follows:

1. ONE admits Greatway is a limited liability company organized under the laws of Florida. ONE lacks knowledge or information about the truth of the allegations concerning Greatway’s principal place of business or OTI license number. To the extent further response is required, ONE denies the remaining allegations of Paragraph 1 of the Complaint.

2. ONE admits the allegations contained in Paragraph 2 of the Complaint.

3. ONE admits Greatway purports to have brought this action pursuant to the Shipping Act of 1984, but denies that it is entitled to do so. ONE denies the remaining allegations of Paragraph 3 of the Complaint.

4. ONE admits there is an underlying litigation in the United States District Court for the Southern District of Texas, Houston Division, between ONE, Greatway, and others, related to

freight/demurrage/storage charges arising under two ONE bills of lading (hereinafter referred to as the “Texas Litigation”). ONE denies the remaining allegations of Paragraph 4 of the Complaint.

5. ONE denies the Federal Maritime Commission has subject matter jurisdiction over the Complaint. Any such jurisdiction, would be subject to the concurrent jurisdiction of the United States District Court for the Southern District of Texas, Houston Division, which issued an order dismissing Greatway’s counterclaim for attorney’s fees under the Shipping Act with prejudice in the Texas Litigation on May 26, 2021.<sup>1</sup> ONE is not contesting personal jurisdiction in this proceeding.

6. ONE denies the allegations in Paragraph 6 of the Complaint.

7. ONE admits the allegations in Paragraph 7 of the Complaint.

8. ONE admits the allegations in Paragraph 8 of the Complaint.

9. ONE denies the allegations of Paragraph 9 of the Complaint, but admits that AGL advised ONE that Greatway was to be listed as the notify party.

10. ONE admits that the arrival notice for bill of lading ONEYSAOU24000400 was transmitted to Greatway on November 2, 2018, and that the shipment covered by that bill arrived in Houston, Texas on November 6, 2018. ONE lacks knowledge or information about the truth of the remaining allegations in Paragraph 10 of the Complaint. To the extent further response is required, ONE denies those allegations.

11. ONE admits that in early December 2018 it received an email from AGL regarding a request from shippers to amend the consignee on bill of lading ONEYSAOU24000400 and bill

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<sup>1</sup> Greatway moved for reconsideration of the district court’s dismissal order, requesting the district court amend its order to dismiss its counterclaim “without prejudice.” That motion in the Texas Litigation forms the basis of ONE’s pending motion to stay this proceeding or alternatively grant ONE additional time to answer.

of lading ONEYSAOU24596300. ONE denies the remaining allegations of Paragraph 11 of the Complaint.

12. ONE admits that on December 6, 2018 it advised Greatway of the shippers' request to amend the bills of lading. ONE admits Greatway responded that the cargo had already been nationalized into the United States in another consignee's name. ONE denies the remaining allegations of Paragraph 12 of the Complaint.

13. ONE lacks knowledge or information about the truth of the allegations in Paragraph 13 of the Complaint. To the extent further response is required, ONE denies those allegations.

14. ONE admits the allegations of Paragraph 14 of the Complaint.

15. ONE admits the allegations of Paragraph 15 of the Complaint. Upon information and belief, Greatway liaised with the consignee, Pacific Lumber Resources Inc., regarding the mounting demurrage costs.

16. ONE admits the allegations of Paragraph 16 of the Complaint.

17. ONE admits the allegations of Paragraph 17 of the Complaint.

18. ONE admits the allegations of Paragraph 18 of the Complaint. Nevertheless, Greatway was on notice that such charges had been accruing.

19. ONE denies the allegations of Paragraph 19 of the Complaint, and specifically denies that it acted unjustly. Moreover, ONE is not presently seeking to collect any sum from Greatway in the Texas Litigation. The sum alleged by Greatway was the sum total jointly and severally owed by all defendants in the Texas Litigation.

20. ONE admits the allegations of Paragraph 20 of the Complaint.

21. ONE admits the allegations of Paragraph 21 of the Complaint.

22. ONE admits the shipment covered by bill of lading ONEYSAOU24596300 arrived in Houston, Texas on November 15, 2018. ONE lacks knowledge or information about the truth of the remaining allegations in Paragraph 22 of the Complaint. To the extent further response is required, ONE denies those allegations.

23. ONE admits that in early December 2018 it received an email from AGL regarding a request from shippers to amend the consignee on bill of lading ONEYSAOU24000400 and bill of lading ONEYSAOU24596300. ONE denies the remaining allegations in Paragraph 23 of the Complaint.

24. ONE admits that on December 6, 2018 it advised Greatway of the shippers' request to amend the bills of lading. ONE admits Greatway responded that the cargo had already been nationalized into the United States in another consignee's name. ONE denies the remaining allegations of Paragraph 24 of the Complaint.

25. ONE lacks knowledge or information about the truth of the allegations in Paragraph 25 of the Complaint. To the extent further response is required, ONE denies those allegations.

26. ONE admits the allegations of Paragraph 26 of the Complaint.

27. ONE admits the allegations of Paragraph 27 of the Complaint.

28. ONE admits the allegations of Paragraph 28 of the Complaint.

29. ONE admits the allegations of Paragraph 29 of the Complaint.

30. ONE denies the allegations of Paragraph 30 of the Complaint, and specifically denies that it acted unjustly. Moreover, ONE is not presently seeking to collect any sum from Greatway in the Texas Litigation. The sum alleged by Greatway was the sum total jointly and severally owed by all defendants in the Texas Litigation.

31. ONE contends the publicly available pleadings in the Texas Litigation speak for themselves and that no further response is required to Paragraph 31 of the Complaint.

32. ONE contends the publicly available pleadings in the Texas Litigation speak for themselves and that no further response is required to Paragraph 32 of the Complaint. ONE further states that the total alleged by Greatway was the sum total jointly and severally owed by all defendants in the Texas Litigation. Finally, ONE is not presently seeking to collect any sum from Greatway in the Texas Litigation, having voluntarily dismissed Greatway from that proceeding.

33. ONE contends the publicly available pleadings in the Texas Litigation speak for themselves and that no further response is required to Paragraph 33 of the Complaint.

34. ONE contends the publicly available pleadings in the Texas Litigation speak for themselves and that no further response is required to Paragraph 34 of the Complaint.

35. ONE admits it voluntarily dismissed “South Service” and “Evolution” from the Texas Litigation, on a without prejudice basis. ONE admits no settlement was reached with those defendants.

36. ONE admits it settled with the AGL defendants and dismissed them from the Texas Litigation.

37. ONE admits it settled with Pacific Lumber Resources Inc. ONE has since dismissed it from the Texas Litigation.

38. ONE admits that Greatway was not a direct party to the contract of carriage in the bills of lading. The balance of Paragraph 38 of the Complaint contains purported statements of law to which ONE can neither admit nor deny.

39. Paragraph 39 of the Complaint contains purported statements of law to which ONE can neither admit nor deny. ONE, however, notes that federal district courts have supported the

enforcement of “Merchant” clauses against non-signatories to bills of lading. *See, e.g., Mediterranean Shipping Co. USA v. AA Cargo Inc.*, 46 F. Supp. 3d 294, 300 (S.D.N.Y. 2014) (agent of shipper, acting as “Merchant”, under bill of lading could not avoid liability under terms of the bill of lading by virtue of agency arguments); *Maersk Inc. v. Alan Mktg., Inc.*, No. 97 CIV. 3495 (HB), 1998 US Dist. LEXIS 4816, at \*7-\*9 (S.D.N.Y. Apr. 10, 1998) (non-signatory president and shareholder of the shipper bound by terms and conditions imposing individual liability on principals of involved parties).

40. ONE admits that Greatway did not directly contract with it. ONE denies the remaining allegations of Paragraph 40 of the Complaint.

41. Paragraph 41 of the Complaint contains purported statements of law to which ONE can neither admit nor deny.

42. ONE denies the allegations of Paragraph 42 of the Complaint.

43. ONE denies the allegations of Paragraph 43 of the Complaint, except to the extent previously admitted.

44. ONE denies the allegations of Paragraph 44 of the Complaint.

45. ONE denies the allegations of Paragraph 45 of the Complaint.

46. Paragraph 46 of the Complaint contains purported statements of law and regulation to which ONE can neither admit nor deny. ONE specifically denies that the Interpretative Rule applies to this proceeding.

47. ONE denies the allegations of Paragraph 47 of the Complaint.

48. ONE denies the allegations of Paragraph 48 of the Complaint.

49. Paragraph 49 of the Complaint contains purported statements of law to which ONE can neither admit nor deny.

50. ONE denies the allegations of Paragraph 50 of the Complaint.

51. ONE denies the allegations of Paragraph 51 of the Complaint.

52. ONE denies the allegations of Paragraph 52 of the Complaint.

53. ONE denies the allegations of Paragraph 53 of the Complaint.

54. ONE denies the allegations of Paragraph 54 of the Complaint.

55. ONE denies the allegations of Paragraph 55 of the Complaint.

56. ONE denies that Greatway is entitled to the relief requested in Paragraph 56 of the Complaint.

## **II.**

### **Defenses and Affirmative Defenses**

57. The Commission lacks subject matter jurisdiction over the Complaint.

58. 46 U.S.C. § 41102(c) does not apply to Ocean Common Carrier Bills of Lading or their enforcement.

59. Greatway has not alleged the essential elements of a claim under 46 U.S.C. § 41102(c).

60. 46 U.S.C. § 41104(a)(4)(E) does not apply to a carrier's efforts to collect its ocean freight and ancillary charges.

61. Greatway has not alleged the essential elements of a claim under 46 U.S.C. § 41104(a)(4)(E).

62. The Interpretative Rule at 46 C.F.R. Part 545.5 does not, by its own terms, create normative standards or legislative rules that a carrier is required to obey.

63. Greatway has failed to state a claim against ONE for which relief can be granted.

64. Greatway has not suffered any actual injury or damage as a result of ONE's alleged violations of the Shipping Act, which, if any, are denied.

65. In the alternative, and without waiver of any other defenses or affirmative defenses, Greatway has failed to mitigate its damages.

66. In the alternative, and without waiver of any other defenses or affirmative defenses, Greatway's damages, if any, were caused in whole or in part by Greatway's own conduct.

67. ONE retains the right to amend this answer to raise any additional defenses or affirmative defenses which may arise in the course of this proceeding.

### **III. PRAYER**

Wherefore, premises considered, Respondent Ocean Network Express Pte. Ltd. prays that Complainant Greatway Logistics Group, LLC take nothing by this proceeding, that all of Greatway's claims against ONE be dismissed with prejudice, and that ONE be granted all relief to which it may be entitled.

DATED: July 2, 2021

Respectfully submitted,

/s/ Ivan M. Rodriguez  
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**CERTIFICATE OF SERVICE**

I certify that on the 2nd day of July, 2021, a true and correct copy of the foregoing document was served on all counsel of record in accordance with 46 CFR Part 502.

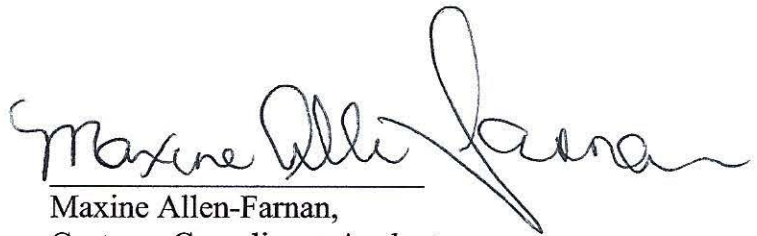
/s/ Andrew R. Nash  
Andrew R. Nash

**Verification**

I, Maxine Allen-Farnan declare as follows:

1. I am a Customs Compliance Analyst for Ocean Network Express (North America) Inc. I am duly authorized to make this verification on behalf of Ocean Network Express Pte. Ltd.
2. I have read the contents of Ocean Network Express, Pte. Ltd.'s Verified Original Answer. I verify that the statements of fact contained therein are true, correct, and within my personal knowledge, and/or based on my review of records and materials maintained by Ocean Network Express Pte. Ltd. in the ordinary course of business.
3. Pursuant to 46 C.F.R. Part 502.6, I declare under penalty of perjury that the foregoing is true and correct.

Executed on July 2<sup>nd</sup>, 2021

A handwritten signature in cursive script, reading "Maxine Allen-Farnan". The signature is written in dark ink and is positioned above a horizontal line.

Maxine Allen-Farnan,  
Customs Compliance Analyst,  
Ocean Network Express (North America) Inc.,  
as agent for Ocean Network Express Pte. Ltd.